

Like an aspiring actor, an aspiring investor must work hard and pay dues. The most important thing to remember regarding performance is that you can't hope to receive a standing ovation if your stage fright prevents you from performing in the first place. If you're not investing, start now. Since we can't control timing, there is never a bad time to start investing and there is no excuse for not starting. Once the performance starts, you can't quit. If you keep the performance basic, you'll never forget your lines. Finally, don't let one bad review cause you to drop out altogether! This advice combined with the guidance of a professional can be the best determinants to success in Wall Street.

Abandoning the Sinking Ship

Although it is wise investment strategy to have a long-term perspective, there are times when losses should be taken in order to avoid even greater losses. If it is obvious that certain investments are not going to recover or are on a steady decline, you will need to take action. Even with the best research and advice prior to making an investment decision, there will be instances when performance will prove unacceptable. Realizing you have made a mistake can be a very wise money move.

Timothy was successful in everything he ever tried. He was president of his high school class, won a football scholarship to college, graduated with a law degree, and now, at the age of twenty-four, worked for a successful law firm. He began to believe everything he touched would turn to gold. With overwhelming confidence, Timothy entered the stock market.

He understood the philosophy of keeping an investment for the long term, but after two solid years of consistent losses on one of the stocks in his portfolio, his broker advised him to sell. Timothy resisted and assured himself that the stock was just undervalued and the price of his stocks would increase. In fact, he actually bought more shares of stock and convinced

